

tentixo

Business Central Best Practice Playbook

Recommended patterns for setup, posting architecture,
and project management

VERSION	0.1 — Draft
DATE	June 2026
CLASSIFICATION	Client Document
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This document describes how Tentixo recommends Business Central be configured for Nordic service and consulting companies. It is opinionated by design — the patterns here reflect what we've seen work across implementations and what we've seen cause pain when skipped.

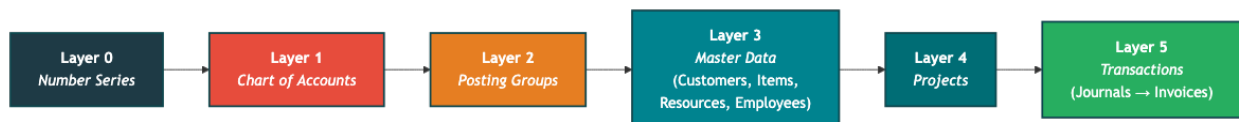
1. Why this matters

Most Business Central problems aren't bugs — they're setup decisions that seemed fine at the time but compound into reporting blind spots, manual workarounds, and audit exposure. The earlier you get the foundation right, the cheaper every change above it becomes.

This playbook covers the structural decisions that, in our experience, determine whether BC becomes a single source of truth or another system people work around.

2. The layered hierarchy — setup order matters

Every layer in BC depends on the one below it. Get a lower layer wrong and everything above inherits the error.



Implication: Before creating customers, items, or projects, the chart of accounts and posting groups must be intentionally designed — not inherited from a demo company or a previous implementation.

3. Chart of accounts — design for cost structure

3.1 The intent of the chart of accounts

The chart of accounts is not a filing cabinet for transactions. Its purpose is to answer: **what does it cost us to deliver this type of revenue?**

A well-designed CoA separates revenue by the cost drivers behind it. We recommend organising the 3000-series (revenue) around three categories:

RANGE	CATEGORY	COST DRIVER	EXAMPLES
30xx	Goods	Physical — shipping, warehousing, customs	Hardware resale, physical products
31xx	Virtual	Low marginal — self-serve, electronic	Software licenses, SaaS, electronic services
32xx	Human	Employee-bound — HR, availability	Consulting, advisory, professional services

The same structure mirrors into the 4000-series (cost of goods sold): account 3011 (goods revenue) pairs with 4011 (purchase of goods).

3.2 The litmus test

If we remove all humans from the delivery, can we still sell this?

If **no** → it belongs in the Human range (32xx), regardless of whether the pricing model is fixed, T&M, or subscription. A fixed-price consulting package is still human-bound.

If **yes** → it is either Goods (physical) or Virtual (electronic/self-serve).

3.3 The tree rule

The chart of accounts is a tree — each account has exactly one parent. If you use granular child accounts (e.g., 3211 for consulting type A, 3212 for type B), **do not also post to the parent account** (3210). They overlap. Pick one level and use it consistently.

Violating this rule makes it impossible to get accurate totals without manual checking.

3.4 VAT and electronic services

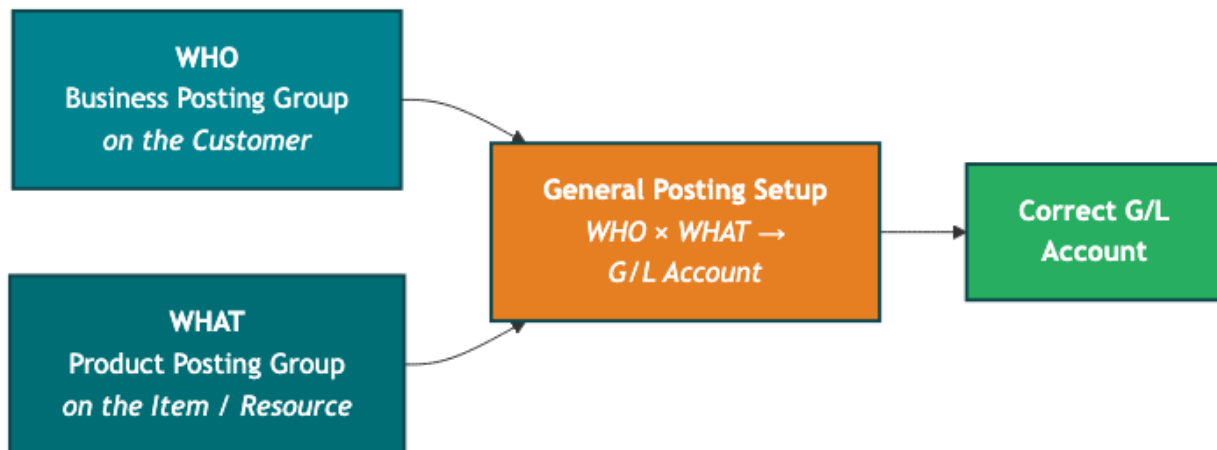
Within the Virtual category, VAT law distinguishes between **electronic services** (self-serve download, no human involvement) and regular services. This distinction affects cross-border VAT treatment, particularly within the EU.

The correct way to handle this is through the **VAT Product Posting Group**, not by creating separate items. One license item can be sold domestically and internationally — BC applies the correct VAT rate automatically through the posting group matrix.

4. Posting groups — the architecture that prevents item duplication

4.1 The WHO × WHAT matrix

This is the single most important architectural feature in Business Central — and the one most often underused.



- The **Business Posting Group** on the Customer answers: **who are we selling to?** (domestic, export, intercompany)
- The **Product Posting Group** on the Item or Resource answers: **what are we selling?** (consulting, services, goods)
- The **General Posting Setup** matrix maps every (WHO, WHAT) combination to a specific G/L revenue account

The same logic applies to VAT: VAT Business Group × VAT Product Group → correct VAT rate and accounts.

4.2 Why this matters

Without this separation, companies end up creating duplicate items: "Heat Map - Sweden", "Heat Map - Norway", "Heat Map - EU Export". Each duplicate multiplies maintenance, introduces inconsistency, and makes reporting unreliable.

With posting groups correctly configured, **one item** handles all geographies and customer types. The posting group matrix resolves the accounting automatically.

4.3 The five posting groups on every transaction

When BC posts a journal entry, it reads up to five posting controls:

CONTROL	QUESTION IT ANSWERS
Gen Posting Type	Purchase, Sale, or Settlement?
Gen Business Posting Group	Whom are we transacting with?
Gen Product Posting Group	What are we transacting?
VAT Business Posting Group	Who + where is the counterparty?
VAT Product Posting Group	What type of thing, at what VAT level?

Rule: all five or none. You cannot partially specify posting groups. If one is set, all must be set.

4.4 Recommended posting group structure

GROUP TYPE	RECOMMENDED CODES	PURPOSE
Gen. Bus. Posting Group	DOMESTIC , EXPORT , INTERCO	Separates customer geography/relationship
Gen. Prod. Posting Group	By cost-driver category (see §3.1)	Maps to the correct revenue/cost accounts
VAT Bus. Posting Group	Per jurisdiction (SE , EU , EXPORT)	Determines VAT treatment by counterparty location
VAT Prod. Posting Group	Per VAT rate/type (VAT25 , VAT12 , VAT0 , ELECTRONIC)	Determines VAT rate by product type
Customer Posting Group	DOMESTIC , INTERCO	Determines which AR account receives the receivable

5. Master data — items, resources, and the people registers

5.1 Items: always Service-type for non-physical deliverables

DECISION	RECOMMENDATION	WHY
Item Type for consulting/services	Service	Inventory type triggers stock tracking, negative inventory warnings, and cost valuation — all noise for service delivery
Unit Price on the item	0 (or catalogue reference)	Real prices belong in Price Lists, not the item card. One item, many prices per customer/project

DECISION	RECOMMENDATION	WHY
Base Unit of Measure	PCS (pieces) or EA (each)	EA is the international standard code used in electronic invoicing

5.2 Resources vs. employees

BC has two separate records for people — and both are needed:

RECORD	PURPOSE	KEY FIELDS
Resource	"We sell you" — the billable side	Unit Cost, Unit Price, Gen. Prod. Posting Group
Employee	"You work for us" — the employment side	Payroll, personal data, HR

Link them via the **Employee No.** field on the Resource card. Never conflate the two — they serve different reporting needs.

5.3 The five people registers

The same person can appear in up to five different registers in BC. This is by design, not a flaw:

REGISTER	WHAT IT TRACKS	EXAMPLE USE
Contact	Relationships and interactions (CRM)	Person Responsible on a Project
Customer	Who we sell to	Bill-to on invoices
Vendor	Who we buy from	Purchase invoices
Employee	Who works for us	Payroll, HR
Resource	Who/what we sell (people or machines)	Project journal lines, time sheets

Contact is the root. Creating a Customer automatically creates a Contact. If the same company is both customer and vendor, merge the Contact cards — do not maintain duplicates.

5.4 Pricing: price lists, not item cards

Hardcoding prices into item cards creates rigidity and forces item duplication. Instead:

- Set Item Unit Price to **0** (or a reference/catalogue price)
- Create **Sales Price Lists** for customer-specific, project-specific, or time-bound pricing
- Override at the invoice or project journal line when needed

This pattern supports volume discounts, campaign pricing, and per-client rates without touching master data.

6. Projects — when to use them and how to structure them

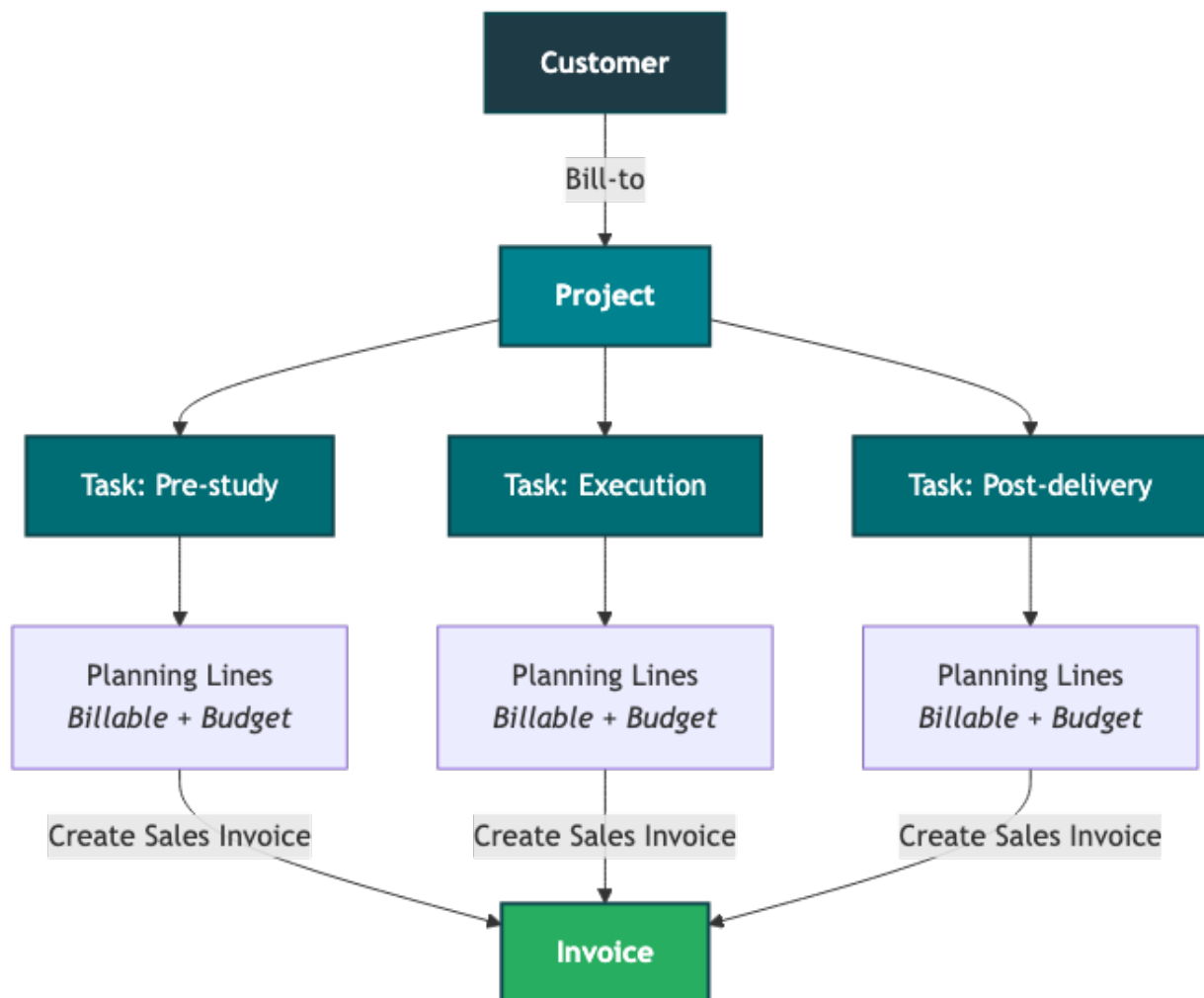
6.1 When to use the Project module

Use the Project module (not direct Sales Invoices) when:

- The engagement is **evolving** — scope, pricing, or deliverables may change
- You have **mixed billing** — fixed-price, T&M, travel, and licenses in one engagement
- You need **budget vs. actual** tracking and margin reporting
- You want analytical **granularity per deliverable** preserved through to invoicing

Direct Sales Invoices are appropriate for simple, one-off transactions. Recurring/subscription billing should stay **outside** the project to keep project P&L clean.

6.2 Project structure best practice



Start with one task. Add sub-tasks only when the engagement genuinely splits (retainer + project, or distinct phases the client wants billed separately). Premature granularity creates overhead without insight.

Planning line types: - **Billable** — will appear on the invoice - **Budget** — internal cost tracking only - **Both Billable and Budget** — for T&M where hours are both a cost and a billing unit

6.3 WIP method must match project type

The WIP (Work in Progress) method on the project card must align with how the project is billed:

BILLING MODEL	WIP METHOD	WHAT GOES WRONG IF MISMATCHED
Fixed price	Cost Value or Sales Value	Revenue recognized proportionally to completion
T&M	Cost of Sales	Revenue recognized as hours are posted

If a T&M project has WIP method set to "Fixed Price", the WIP postings hit incorrect chart-of-accounts entries. Always verify before running any WIP calculation.

6.4 Invoicing from projects

BC provides two invoicing paths:

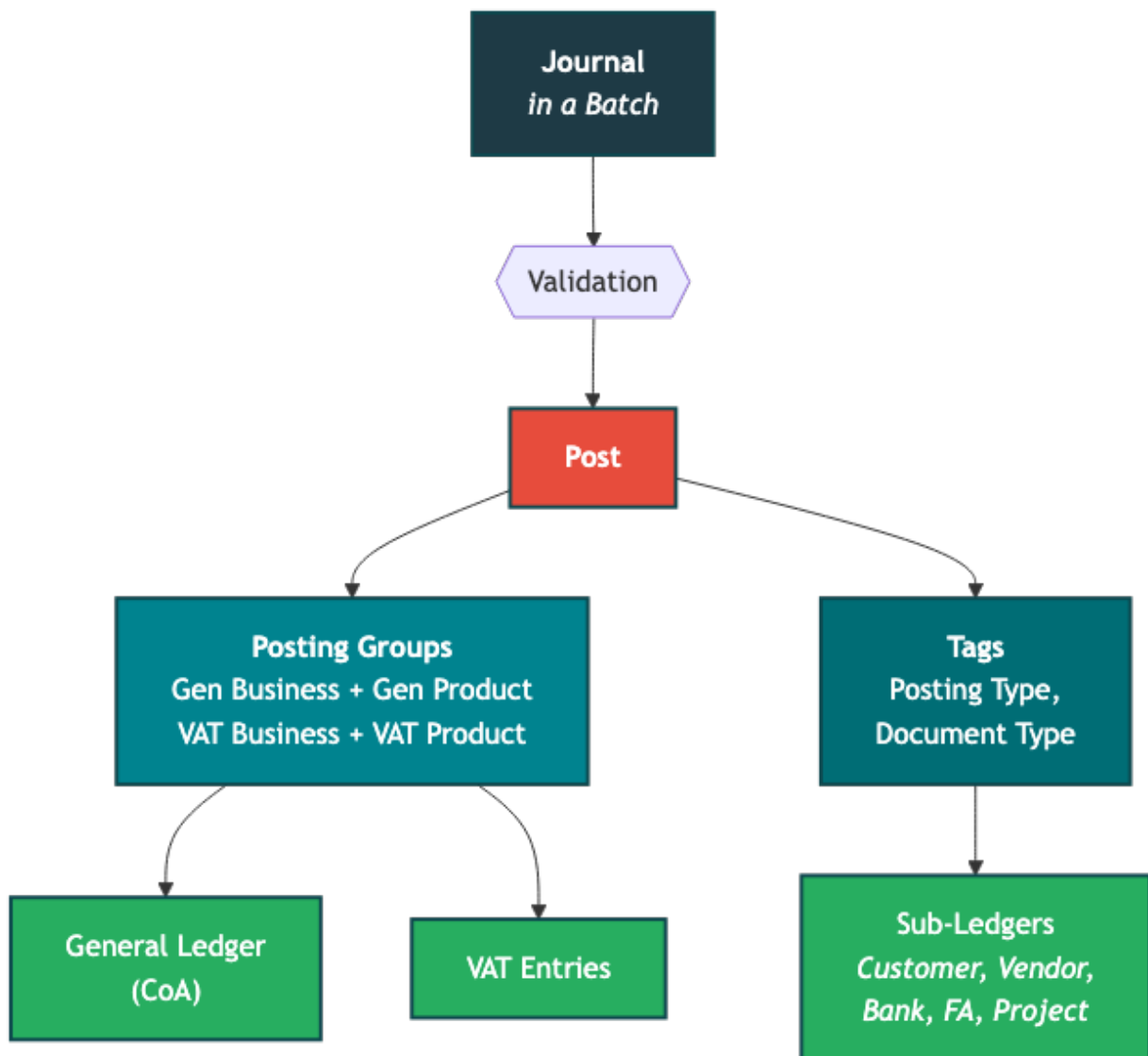
1. **Global:** Search → "Create Project Sales Invoice" — takes all uninvoiced billable lines across all projects
2. **Per task:** From the project task line → Create Sales Invoice — invoices just that task

Project-linked lines on the generated invoice are **locked** — quantities and prices cannot be changed. You can add lines (comments, one-off charges), but additions are not tracked in the project.

Safety net: The project ledger marks each line as "invoiced" after posting. BC will never invoice the same line twice. This is the foundation for safe automation.

7. The posting flow — what happens when you press Post

Understanding the posting flow helps diagnose where things land and why.



Every journal entry flows through the same engine. The posting groups determine **which G/L accounts** receive the entry. The tags determine **which sub-ledgers** are updated. This is why getting posting groups right at Layer 2 is foundational — every transaction that follows depends on them.

8. Common anti-patterns

These are the patterns we most frequently encounter in BC implementations that have grown organically without architectural intent.

ANTI-PATTERN	SYMPTOM	ROOT CAUSE	FIX
Item duplication	"Heat Map - SE", "Heat Map - NO", "Heat Map - EU"	Posting groups not configured — geography baked into items	Set up WHO × WHAT matrix; one item handles all geographies
Dimension overload	15+ dimensions, reports take minutes	Granularity put on dimensions instead of proper registers (Resources, Projects, Posting Groups)	Move granularity to the correct BC register; reserve dimensions for true cross-cutting analytics
Inventory type for services	Negative inventory warnings, cost valuation noise	Item created as "Inventory" instead of "Service"	Change item type to Service; remove Inventory Posting Group
Hardcoded prices	Price changes require editing every item	Prices on item cards instead of Price Lists	Set item price to 0, create customer/project-specific Price Lists
Parent + child account posting	Totals don't add up, manual reconciliation needed	Postings to both a summary account and its children	Pick one level — either the parent or the children, never both
Manual hour re-keying	Finance re-types time data from external systems	No integration between time tracking and BC	Use BC's Project Journal (or API integration) as the single entry point
WIP not finalized before project close	Orphaned WIP entries on the balance sheet	Project closed without running the final WIP calculation	Always run WIP to completion before changing project status
Mixing pre-pay and post-pay accounts	Automated reports produce incorrect figures	Correction entries booked to wrong account type	Account type determines how code and reports interpret the entry — be precise

9. Transaction-based thinking

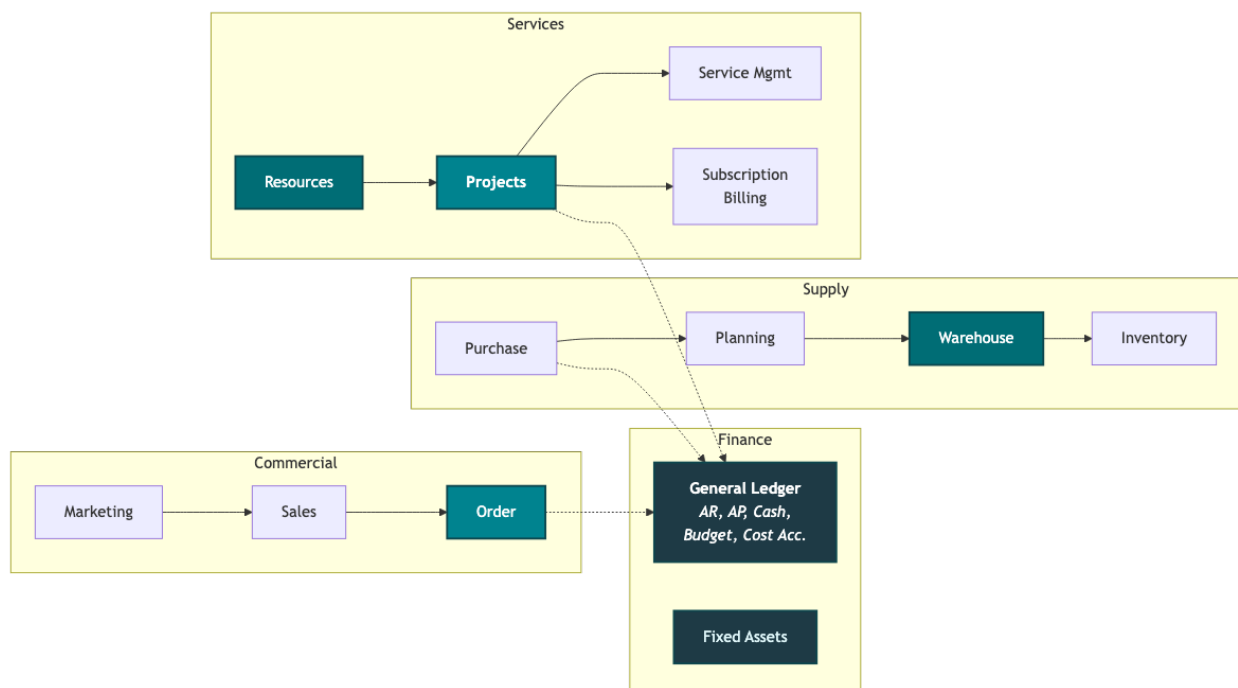
BC is a **transaction-based** system, not a database. This distinction matters for operations:

- **Posted entries are permanent.** You do not edit a posted entry — you create a reversal. The original and the reversal both stay in the ledger, creating an audit trail.
- **Journals are staging areas.** Nothing affects the ledger until you Post. Review before posting.
- **Batches isolate concurrent work.** If multiple people work in the same journal type, use separate batches to prevent numbering collisions.
- **The ledger is the truth.** If a report disagrees with the ledger, the report is wrong — not the ledger.

Systems that allow in-place edits (changing a field value, moving hours between projects) create audit gaps. BC's transaction model prevents this by design.

10. BC module landscape

For reference — BC's major functional areas and how they connect.



Everything flows to the General Ledger. The module you work in determines the path, but the destination is always the same — posted entries in the ledger, routed by posting groups to the correct accounts.

11. Next steps

If any of the anti-patterns in §8 look familiar, or if your current BC setup evolved without a deliberate architectural conversation, that conversation is worth having. The structural decisions described in this document — chart of accounts intent, posting group matrix, master data hygiene — are significantly cheaper to get right early than to fix after years of transactions.

Tentixo can help with: - **Architecture review** — assess your current CoA, posting groups, and master data against these patterns - **Migration planning** — design the target state for a new tenant or major restructuring - **Integration design** — connect external systems (time tracking, CRM, billing) to BC via API without creating manual workarounds - **Training** — build internal competence so your team understands *why* the setup works, not just *how* to click

Version History

VERSION	DATE	CHANGES
0.1	2026-06-04	Initial draft
